

Program : Diploma in Commercial Practice	
Course Code : 5143C	Course Title: Income Tax Law and Practice
Semester : 5	Credits: 4
Course Category: Program Elective	
Periods per week: 4 (L:4, T:0, P:0)	Periods per semester: 60

Course Objectives:

- To provide a basic knowledge about the concepts of Income Tax.
- To compute taxable income from different heads including income from salary, house property, business or profession, capital gains and other sources.

Course Prerequisites:

Topic	Course code	Course name	Semester
Basic knowledge of Business and Economics		Business Studies	1
		Managerial Economics	1

Course Outcomes:

On completion of the course, the student will be able to:

CO n	Description	Duration (Hours)	Cognitive Level
CO1	Explain concepts of Income Tax Act, compute Income from salary.	18	Applying
CO2	Compute income from house property, income from business of a proprietary concern.	17	Applying
CO3	Solve problems of tax on capital gains, income from other sources.	12	Applying
CO4	Calculate Total Income by allowing Chapter VI deductions and carry forward and set off.	11	Applying
	Series Test	2	

CO – PO Mapping:

Course Outcomes	PO1	PO2	PO3	PO4	PO5	PO6	PO7
CO1	3						
CO2	3						
CO3	3						
CO4	3	2					

3-Strongly mapped, 2-Moderately mapped, 1-Weakly mapped

Course Outline:

Module Outcomes	Description	Duration (Hours)	Cognitive Level
CO1	Explain concepts of Income Tax Act, compute Income from salary.		
M1.01	Explain the basic concepts of income tax.	5	Understanding.
M1.02	Identify residential Status of an Individual.	4	Applying.
M1.03	Explain the meaning and scope of salary.	3	Understanding
M1.04	Solve problems on taxable salary.	6	Applying.
Contents: Income tax: -Meaning – Nature – Importance and objectives of Income Tax. Basic Concepts –Person - Assessee – Assessment Year – Previous Year –assessment-income - Casual Income -Gross Total Income and Taxable Income. Residential Status of an Individual – Incidence of tax. Income Exempted from Tax – Fully Exempted Income and Partially Exempted Income. Meaning of Salary – Scope of Salary – Allowances –fully taxable-partly taxable-fully exempted- Perquisites –Exempted-Taxable perks - Profits in Lieu of Salary. Provident Fund – Kinds – Important Provisions –gratuity-pension-leave salary- Allowable Deductions under the Head “Salary” - Simple Problems on Calculation of Taxable Income from Salary.			
CO2	Compute income from house property, income from business of a proprietary concern.		
M2.01	Explain the basic concepts of house property.	2	Understanding
M2.02	Illustrate the deductions from house property.	2	Understanding
M2.03	Solve problems on Taxable Income from house property.	5	Applying
M2.04	Explain the basic concepts of business or profession.	2	Understanding

M2.05	Explain allowable disallowable expenses.	2	Understanding
M2.06	Solve problems on income from business or profession.	4	Applying
	Series Test – I	1	

Contents:

Basic concepts: Let out house property-Self occupied property-Chargeability. Meaning of Annual Value –for different house properties- Gross annual value-net annual value-municipal tax -Allowable Deductions. Simple Problems on Calculation of Taxable Income from House Property. Meaning and Definition of Business, Profession – Vocation - Expenses Expressly Allowed – Allowable Losses – Expenses Expressly Disallowed – Expenses Allowed on Payment Basis-Simple Problems Only.

CO3	Solve problems of tax on capital gains, income from other sources.		
M3.01	Explain the basic concepts of capital gain- long term and short term.	3	Understanding
M3.02	Compute taxable capital gain.	3	Applying
M3.03	Illustrate the income from other sources.	3	Applying
M3.04	Computation – Grossing up.	3	Applying

Contents:

Capital gains: Definition of Capital Assets – Kinds of Capital Assets -Long term and Short term – Transfers – Cost of acquisition – Cost of improvement – Exempted Capital gains. (Simple problems only) Income from other sources: Definition - Incomes Chargeable under the head -Computation – Grossing up – Deductions and other relevant provisions. (Simple problems only)

CO4	Calculate Total Income by allowing chapter VI deductions and carry forward and set off.		
M4.01	Explain Clubbing of income.	2	Understanding
M4.02	Illustrate Set off and carry forward.	2	Understanding
M4.03	Classify Deductions u/s 80 C – 80 U.	2	Understanding
M4.04	Solve problems on total income.	5	Applying
	Series Test – II	1	

Contents:

Total income and tax computation: Income of other persons included in assessee's total income - Aggregation of income - set-off and carry forward of losses - Deductions from gross total income - Rebates and reliefs - Computation of total income (Simple Problems Only).

Text / Reference:

T/R	Book Title/Author
T1	Gaur, V. P. (2020). <i>Income Tax Law and Practice</i> . Kalyani Publishers.
T2	Mehrotra, H. C. (2021). <i>Income Tax Law & Accounts</i> (62nd ed.). Sahitya Bhawan Publications.
T3	Lal B.B, (2021). <i>Direct Taxes</i> . Konark Publisher.
R1	Singhania, V. K. (2021). <i>Direct Taxes Law & Practice</i> (63rd ed.). Taxman Publication.
R2	Bhagwathi Prasad (2020). <i>Direct Taxes - Law and Practice</i> . WishwaPrakashana Publications.

Online Resources:

Sl. No	Website Link
1	https://www.incometaxindia.gov.in/Pages/tutorials.aspx